IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(ADMIRALTY JURISDICTION)

ADMIRALTY SUIT NO. 49 OF 2016

IN THE MATTER OF:

Monjasa Pte. Ltd.

.... Plaintiff

-VERSUS-

M.V. TAN BINH 45, (IMO No. 9140229, Flag: Panama) and others.

.......Defendants

Mr. Mohiuddin Abdul Kadir, with
Mr. Noor Mohammad Mozumder Roni, Advocates

..... For the plaintiff

Mr. M. Saquibuzzaman, Advocate

……For the defendant Nos. 1 and 3

Heard on: 09.07.2025, 15.07.2025, 24.07.2025, 29.07.2025, 04.08.2025, 26.08.2025 and 28.08.2025
Judgment on: 28.10.2025

Present:
Mr. Justice Zafar Ahmed

1. Plaintiff has filed the instant Admiralty Suit praying for a decree for an amount of USD 53,359.32 equivalent to BDT 42,15,386.28 (based on the prevalent exchange rate at the time of filing of the suit on 15.05.2016) against the principal defendants jointly and severally for supply of bunker to the 1st defendant vessel by the plaintiff based on the bunker supply contract between the plaintiff and the 4th defendant (time charterer).

IDENTITY OF THE PARTIES:

2. Monjasa Pte. Ltd., based in Singapore, is the plaintiff which has been described in the plaint as one of the world's leading international bunker supplier whose core business includes reselling and physical supply of marine fuels, oil trading, terminal operations, agency and

ship-owning activities on a global level. Plaintiff has filed the suit through its duly constituted attorney 'Interport Maritime Limited' based in Bangladesh.

3. 1st defendant is M.V. TAN BINH 45, IMO No. 9140229, Flag: Panama (hereinafter the 'vessel').

   2nd defendant is the master of the vessel.

   3rd defendant is Tan Binh Company Ltd., based in Vietnam, which is the owner of the vessel.

   4th defendant is Cingler Ship Pte. Ltd., based in Singapore, which has been described in the plaint as the operator of the vessel as agent of the owner. Based on the evidence, plaintiff later on accepted that 4th defendant was the time charterer of the vessel during the relevant period.

   5th defendant is Everest Bangladesh (Pvt.) Ltd., based in Bangladesh, described in the plaint as local agent of the vessel.

   6th defendant is the charterers and other parties interested in the vessel.

   Proforma defendant Nos. 7-12 have been impleaded in the suit to give effect to the orders of this Court passed time to time in connection with the suit.

4. The vessel (1st defendant) and the owner (3rd defendant) contested the suit by filing a joint written statement through their duly constituted attorney Mr. Ali Reza Chowdhury, an employee of Cost To Cost P&I Services Ltd., based in Bangladesh.

<u>CASE OF PLAINTIFF AS STATED IN PLAINT:</u>

5. Plaintiff received an order on 12.03.2015 from the 4th defendant (time charterer) to supply bunker to the vessel in Kolkata, India. Plaintiff

issued a Bunker Confirmation Note and supplied 95.390 mts of IFO-380 CST RMG380 to the vessel at port Kolkata on 18.03.2015. Bunker Delivery Note (BDN) was duly signed by the master of the vessel [as per the BDN, bunkering started and completed on 21.03.2015]. Plaintiff issued an invoice on 07.04.2015 for the amount of USD 38,506.71 being the full value of the bunker supplied. Principal defendants failed to pay the price of the bunker within the due date. Plaintiff finally sent a claim notice on 10.06.2015 to the owner and the 4th defendant (time charterer) but received no reply. Hence, the suit.

6. Plaintiff's total claim amount includes USD 38,506.71 (invoice amount), USD 4,852.61 (interest at the rate of 2% as per clause 8.01 of the General Terms and Conditions January, 2012 of plaintiff), and USD 10,000.00 (legal costs).

CASE OF 1ST DEFENDANT (VESSEL) AND 3RD DEFENDANT (OWNER) AS STATED IN WRITTEN STATEMENT:

7. 4th defendant was the time charterer of the vessel pursuant to the Time Charterparty Agreement dated 27.01.2015. 4th defendant was neither the agent nor the owner of the vessel. Bunker Confirmation Note was addressed to the 4th defendant, not to the owner. Signing of the Bunker Delivery Note (BDN) by the master of the vessel does not create any maritime lien on the vessel nor does it create privity of contract between the supplier (plaintiff) and the vessel owner. The vessel and her owner are not bound by the terms and conditions of the contract for bunker supply including the General Terms and Conditions, January, 2012 of the plaintiff. Contesting defendants (vessel and

owner) did not receive any invoice and Claim Bill dated 10.06.2015 from the plaintiff. The vessel and the owner are not legally responsible for the payment of the price of the bunker.

ISSUES:

8. Following issues were framed on 10.04.2018:
   i. Is the suit maintainable in its present manner and form?
   ii. Has the plaintiff any cause of action against the defendants?
   iii. Is the plaintiff entitled to any decree against the defendants? If so to what extent?
   iv. What other reliefs the parties are entitled to?

WITNESSES:

9. Plaintiff examined one witness (PW1) who is Mr. Sheikh Md. Javed Iqbal. He is a Bangladeshi national and a retired Naval Officer. The plaintiff authorized him to depose in the suit on their behalf. Documents tendered in evidence by PW1 were marked as exhibit Nos. 1-9. PW1 was cross-examined.

10. Contesting defendants (vessel and her owner) examined one witness (DW1) who is Mr. Md. Zahed Hossain. He is a Bangladeshi national and an employee of Cost To Cost P&I Services Ltd. (constituted attorney of plaintiff). DW1 was authorized by the defendants to depose in the suit on their behalf. Documents tendered in evidence by DW1 were marked as exhibit Nos. A-D. DW1 was cross-examined.

11. Before delving into the facts of the case, a discussion on the basic principles of admiralty law and relevant laws would, in my view, provide a platform to appreciate the facts in the context of the applicable laws.

<u>ADMIRALTY LAW IS *SUI GENERIS*:</u>

12. In the textbook 'Admiralty Jurisdiction And Practice' (5th ed.) by Nigel Meeson and John A. Kimbell, it is stated at para 1.42:

> "Probably the most disputed and debated concept of all in Admiralty law is the maritime lien. It is a concept which is *sui generis*, but for practical purposes it may be considered as a charge upon maritime property, arising by operation of law and binding the property even in the hands of a *bona fide* purchaser for value and without notice, which can only be enforced by an Admiralty claim *in rem*".

13. The concept of *sui generis* in the context of admiralty law means it is an independent legal system with its own peculiarities and characteristics. An example is ***United Africa Co. Ltd. vs. Owners of MV Tolten***, (1946) 2 All ER 372 where the Court of Appeal held that the rule in Conflict of Laws that British Courts have no jurisdiction to entertain an action for damages in respect of trespass to land situated abroad does not apply in admiralty jurisdiction in respect of an action *in rem* asserting a maritime lien.

<u>MARITIME CLAIM AND MARITIME LIEN:</u>

14. The classic definition of a maritime lien was provided by Sir John Jervis in ***The "Bold Buccleugh"*** (1851) 7 Moo. P.C. 267 wherein he said:

> "This claim or privilege [maritime lien] travels with the thing into whosoever's possession it may come. It is inchoate from the moment the claim or privilege attaches, and when carried into effect by legal process, by a proceeding *in rem*, relates back to the period when it first attached".

15. Our Appellate Division observed in ***Al-Sayer Navigation Co. vs. Delta International Traders Ltd. and others***, 1982 BLD (AD) 69:

> "Maritime lien is different from maritime claim. All maritime liens are no doubt maritime claims but all maritime claims are not maritime liens. Only certain types of maritime claims give rise to the liens. It is well settled that the <u>parties cannot by agreement confer lien status on a claim which is not by nature a lien</u>. An action *in rem* is brought against the vessel whereas action *in personam* is against the owner…. Present day commerce and shipping clearly have necessitated the restriction on maritime lien, and that is understandable because of the International trade".

16. Now, it is well settled in common law jurisdiction that the following claims are recognized as creating maritime lien:

(a) damage done by a ship,
(b) salvage,
(c) seaman's wages,
(d) bottomry and respondentia,
(e) master's wages and disbursements.

Master's disbursements do not include disbursements made on account of charterers as opposed to shipowners.

<u>ACTION *IN REM* AND ACTION *IN PERSONAM*:</u>

17. Samareshwar Mahanty in his textbook 'Maritime Jurisdiction And Admiralty Law in India' (2nd ed. Reprint 2019) at para 3.1.1 to 3.1.1.3 observed that an action *in rem* is one in which the plaintiff seeks to make good a claim to or against a certain property-*e.g.*, a ship or cargo– in respect of which or in respect of damage done by which, he alleges that he has an actionable demand. The foundation of an action *in rem* is the lien resulting from the personal liability of the owner of

the *res*. Thus, if the owner allows a charterer to have possession and control of the ship (or *res*), the liability of the charterer (called charterer by demise or bailboat charterer) will suffice for the purpose of an action *in rem* [***The Andrea Ursula***, (1971) 1 All ER 821 (824-5)]. The effect of judgment of sale of the *res* in an action *in rem* is that the order of the Court operates directly upon the status of the property and transfers an absolute title to the purchaser.

An action *in personam* is an ordinary action as in common law Courts. The judgment of the Court is a personal one (in the nature of a command or prohibition) against the unsuccessful party, though it may be enforced against his property by subsequent proceedings, but even if the Court sells the property by execution under the judgment it does not thereby transfer to the purchaser an absolute title, but only such title as the owner may in fact have had.

The author continues that the action may be initiated either as action *in rem* or as action *in personam*, depending on conditions specified in admiralty law for each form of action. These forms of action are not mutually exclusive; if conditions for both the forms of action are satisfied, a plaintiff may take recourse to either of them or both of them, as he may find expedient. The author cites the case of ***Epoch Enterrepots vs. M.V. Won Fu***, AIR 2003 SC 24 where the Indian Supreme Court held that foundation of an action *in rem* is the lien resulting from the personal liability of the owner of the *res* and rejected the claim in an action *in rem* as it arose out of a contract *de hors i.e.* beyond the scope of maritime lien, though an action *in personam* may lie in such case.

ADMIRALTY COURT ACT, 2000 OF BANGLADESH:

18. The relevant statutory provisions of the Act, 2000, which are applicable to the instant case, are contained in Section 4(1) which provides that subject to the provision of Section 5, the admiralty jurisdiction may in all cases be exercised *in personam*. However, Section 4(2) provides that in relation to claims mentioned in clauses (a) to (c) and (r) of Section 3(2), the admiralty jurisdiction may be exercised through an action *in rem* against the ship or property in question.

Clause (l) of Section 3(2) provides for any claim in respect of the goods or materials supplied to a ship for her operation or maintenance which means that the statute does not recognize the claim arising out of supply of goods or materials including bunkers as an action *in rem*. It gives rise to a statutory action *in personam* only.

Section 4(3) provides that where the amount claimed relates to any ship, aircraft or any other property over which there is maritime lien or other charge, the admiralty jurisdiction may be exercised through an action *in rem* against that ship, aircraft or property.

CLAIM FOR UNPAID PRICE OF BUNKER UNDER ACT, 2000 – NO MARITIME LIEN – ACTION *IN PERSONAM* ONLY:

19. It is decided by our Apex Court in ***Kyung Hae Maritime Co. Ltd. vs. BF Glory (Ex-Kunai) and others***, 21 BLC (AD) 40 that under the Act, 2000 the maritime claim in respect of price of bunkers does not create maritime lien upon the vessel and as such, the same cannot be realized in admiralty jurisdiction through an action *in rem*. It was held that the plaintiff's claim for supply of bunker was neither maintainable against the vessel nor against her owner.

ARGUMENTS:

20. Mr. Kadir, learned Counsel appearing for the plaintiff (bunker supplier), refers to clauses 6(d), 6(e), 8(e) and 10 of the conditions of the bunker supply contract contained in the 'General Terms and Conditions January, 2012' of the plaintiff (exhibit-7), clauses 40 and 95 of the Time Charterparty Agreement (exhibit-C) and submits that the owner of the vessel had authorized the time charterer to procure bunker under clause 40 of the charterparty but did not demand from the charterer or the bunker supplier a statement prior to delivery of bunkers that those were not on the credit of the vessel and thus, the owner waived the requirement of clause 95 of the charterparty and as such allowed the charterer to procure the bunker on credit of the vessel.

Mr. Kadir further argued that the defendants had constructive notice of the terms and conditions of bunker supply contract.

Mr. Kadir further argued that an implied contract was created between the owner and the supplier when the master of the vessel accepted the delivery of the bunker in the vessel.

Mr. Kadir finally argued that in the attending facts and circumstances of the case, the terms and conditions of the bunker supply contract apply and the owner of the vessel is liable *in personam* to pay the price of the bunker.

Mr. Kadir relied upon the cases of ***Forsythe International (UK) Ltd. vs. Silver Shipping Co. Ltd. and another (The "Saetta)***, Lloyd's Law Reports [1993] vol. 2 268 and ***Tramp Oil and Marine (Far East Pte. Ltd. Singapore) vs. M.V. Nand Shrishti and Others***, 4 LG (2007)

HCD 233 decided by the Admiralty Court of Bangladesh. Mr. Kadir also refers to other cases which shall be addressed, if so required.

21. Mr. Saquibuzzaman, learned Counsel appearing for the defendants (vessel and her owner), at the outset, refers to Section 4(2) of the Admiralty Act, 2000 and ***BF Glory (Ex-Kunai)***, 21 BLC (AD) 40 (*supra*) and submits that the instant claim for unpaid price of the bunker does not create any maritime lien and the action being an action *in personam*, the contesting defendants are not legally liable and the time charterer (4th defendant), who contracted with the plaintiff for supply of bunker to the vessel, can be held responsible provided the plaintiff can make out their case against the time charterer.

He further submits that the owner of the vessel is not expressly or impliedly a party to the bunker supply contract and as such the action against the owner and the vessel is not maintainable.

The learned Counsel submits that the cases referred to on behalf of the plaintiff do not apply to the facts and circumstances of the case in hand.

Mr. Saquibuzzaman refers to the cases of ***The "Yuta Bondarovskaya"***, Lloyd's Law Reports [1998] Vol. 2 357 and ***Marine Oil Broking Company Pte. Ltd. vs. MV Daizu Maru and others***, 55 DLR 471 = (2002) 22 BLD (HCD) 312 and submits that facts and *ratios* laid down in those cases squarely apply to the instant case.

THE "YUTA BONDAROVSKAYA" (relied upon by defendant-owner):

22. Scanartic was the demise charterer of the vessel Yuta Bondarovskaya. Clause 15 of the demise charterparty provided, *inter alia*, as follows:

> The charterers will not suffer, nor permit to be continued, any lien or encumbrance incurred by them or their agents which might have priority over the title and interest of the owners in the vessel.

23. By a time charterparty on an amended Baltime form, Scanartic let the vessel to EMEL. The time charterparty provided for EMEL to provide and pay for bunkers. There was nothing in the terms of the time charterparty to suggest that EMEL had express authority to buy bunkers on behalf of Scanartic. Plaintiff supplied bunker to the vessel while she was being operated under the time charterparty. Time charterer did not pay the invoice. The question before the Admiralty Court of England was whether Scanartic (demise charterer) would be liable *in personam.*

24. The Court considered two telexes sent by the plaintiff IMS (bunker supplier) as evidence of contract of sale between the plaintiff and EMEL (time charterer). The relevant portions of the 1st telex ran as follows:

> Agents: Seagull Maritime. Physical supp: BP.
> Remarks: This nomination has been accepted in accordance with IMS [plaintiff] general terms and conditions of Sales for marine fuel, dated 31st March 1994 sent to you on 14/3/94, which we kindly ask you to pass on to owners (an original will be mailed also to pass on) and is subject to local supplier's confirmation of date and time of supply.

25. Clause 11 of the terms and conditions of the bunker supply contract was in the following terms:

> Financial Responsibility.
>
> All sales of Marine Fuel hereunder are made on the credit of the Vessel as well as on the credit of the BUYER. The SELLER will have and may assert any and all maritime liens available to it against the Vessel, wherever found, for the full amount of the delivered price of the Marine Fuel supplied to such vessel by the SELLER plus accrued interest and collection costs.

26. Clause 1.2 of Maxcom's terms and conditions, which was relied upon by the supplier (plaintiff), reads as under:

> The buyer shall mean the party as identified in the nomination to whom the seller contracts to sell goods. The term shall include the owners of the receiving vessel and both the buyer identified in the nomination and the owners of the receiving vessel shall be deemed to be the buyer for the purposes of this agreement. The buyer warrants that the seller will have and may assert a lien against the receiving vessel for the price of any goods sold and delivered to the receiving vessel. The terms shall also include agents as set out in Clause 14 below.

27. The bunker supply receipt was acknowledged by the master of the vessel who was employed by or on behalf of the demise chaterer. When the bunkers through Maxcom were delivered, the master insisted on a stamp being added to the delivery receipts in the following terms:

> This vessel is operating under a time charter with Messrs– pursuant to which neither the charterer nor any agent has authority to incur liens against the vessel for any supplies or services whatsoever.

28. The bunker supplier (plaintiff) prepared standard form of invoice stating that the bunkers were sold to-

> ...Yuta Bondarovskaya and/or Master and/or Owners and/or EMEL (UK) Ltd, Europe Middle East Lines, c/o Wake Marine Limited, 5 Lower Belgrave Street, London SW1W ONE.

29. It was argued on behalf of the plaintiff IMS that EMEL (time charterer) had implied actual authority to contract on behalf Scanartic (demise charterer); alternatively, that it had apparent or ostensible authority to do so. It was further argued that clauses 11 and 1.2 respectively of the bunker supply contract make it clear that the vessel and/or its owners are liable for the bunkers provided in addition to any other party which may also assume liability.

30. Mr. Justice Clarke did not accept the plaintiff's argument rather accepted the defendants' submission that neither the terms of the bunker supply contract nor the authority of EMEL (time charterer), whether implied, actual, apparent or otherwise was, or could be, affected by either the receipt or the invoice. In the words of Mr. Justice Clarke, "It is inconceivable that Scanartic [demise charterer] expressly gave EMEL authority to contract on its behalf. There could, as I see it, be no sensible suggestion that any documents in the possession, custody or power of Scanartic might assist on the resolution of the question whether the authority alleged is within the implied actual authority of a time charterer like EMEL, or within the usual authority of such a time charterer".

In conclusion, Mr. Justice Clarke said, “EMEL did not have authority to make these bunker contracts on behalf of Scanartic. It follows that Scanartic is not liable to the plaintiff and the action fails and must be dismissed”.

31. Various observations were made and principles were laid down in *The Yuta Bondarovskaya*. The observations and principles, which are relevant for disposal of the case, are, in the language of Mr. Justice Clarke, as follows:

(a) It is the responsibility of the time charterer under a time charter to provide and pay for bunkers if the time charterer wishes to use the vessel for his own purposes. If the officious bystander were asked whether the time charterer was to buy bunkers at the owner's expense he would say of course not.

(b) Far from being necessary to make the contract work, or to give business efficacy to it, the idea that an owner who time charters his vessel to a time charterer is authorizing the time charterer to contract on his behalf, is contrary both to the express terms and to the underlying basis of a time charter. Under the standard forms of time charter-party the owner is expressly not agreeing to pay for the bunkers. Yet the effect of the plaintiffs' argument is to the contrary, namely, that he is authorizing the time charterer to contract on his behalf and thus making himself directly liable to pay the supplier for bunkers.

(c) It is plain on the evidence that bunker suppliers do their utmost to contract on terms which bind the ship. However, it does not seem to me to follow that time charterers cannot obtain bunkers except on such terms. To take a simple example, a time charterer could give the supplier security or pay in advance.

(d) In all the circumstances, even giving full weight to the evidence relied upon by the plaintiffs, it is not, in my judgment, arguable that any term of the kind suggested could be implied into a standard time charter like this, or that it was part of the usual authority of a time charterer, such as EMEL, to buy bunkers on behalf of Scanarctic so as to commit Scanarctic personally to pay for the bunkers. The implication of such a term would be directly contrary to the underlying scheme of a time charter.

(e) It may be objected that the conclusion reached above is unfair to bunker suppliers. I entirely sympathize with the position of bunker suppliers. In some countries, including I think the United States of America, a bunker supplier has a maritime lien over the vessel. That may, indeed, be the reason for the formulation of cl. 11 of the terms and conditions of IMS [plaintiff], which are, of course, governed by the law of the United States of America, although precisely which such law may be less clear.

In England, however, as in some other countries no doubt, the position is different. It thus appears to me that if a bunker supplier wishes to ensure payment, and is not willing to give a time charterer credit, he should obtain the consent of the shipowner or demise charterer, as the case may be, before the contract is made, or he should insist on payment in advance, or upon security from the time charterer. There is, however, no warrant for holding a shipowner or demise charterer personally liable without his consent.

MV DAIZU MARU (relied upon by defendant-owner):

32. At the relevant time, the vessel was under the time charter. The question was – whether the unpaid bunker supplier had a right of action *in rem* against the vessel and for that matter also against the owner of the vessel *in personam* or against the time charterer only.

33. Clause 2 of the time charter stated that the charterers shall provide and pay for all the fuel except as otherwise agreed. Clause 46 attached to the charterparty also envisaged that the charterer would provide for the bunkers during the period of charter. The invoices

proved that the bunker supplier was fully aware of the time charterparty and sent those invoices to the charterer.

34. Applying the principles laid down in *The "Yuta Bondarovskaya"*, the Admiralty Court of Bangladesh dismissed the suit holding, "However, the fact remains that the bunkers were supplied which was admitted but since those were not on the authority of the owners this action *in rem* against the ship would not lie".

THE "SAETTA" (relied upon by plaintiff-supplier):

35. Clauses 7, 15 and 53 of the time charterparty contained, *inter alia*, the following terms:

> 7. Charterers shall provide and pay for all fuel....
>
> 15. Charterers shall accept and pay for all bunkers on board at the time of delivery and Owners shall on redelivery (whether it occurs at the end of the charter period or on earlier termination of this charter) accept and pay for all bunkers remaining on board. [See clause 53] Owners shall give charterers the use and benefit of any fuel contracts they may have in force from time to time, if so required by Charterers, provided suppliers agree. (*underlinings are mine)*
> 53. *BUNKER ON DELIVERY/REDELIVERY CLAUSE*

36. Plaintiff supplied bunkers to the vessel "Saetta" pursuant to two separate contacts between itself and the time charterer. The owner of the vessel was not a party to those contacts. Relevant portions of clause 8 of the bunker supply contracts ran as follows:

> 8. Retention of Title.
> Notwithstanding that delivery has taken place, the Marine Fuels shall remain the sole and absolute property of the Seller as legal and equitable Owner until such time as the

> Buyer shall have paid to the Seller the agreed price together with all interest, costs and expenses which may have accrued due and together with the full price of any other fuel the subject of any other contract with the Seller. Both the Owner of the vessel and the buyer acknowledge that they are in possession of the Marine Fuels solely as bailee for the Seller until such time as all foregoing sums have been paid to the Seller. ...

37. The contract between the plaintiff and its physical supplier also contained a retention of title clause. Under the bunker supply contacts payment was due on 11.01.1991 because of 45 days' credit clause. The owner terminated the charterparty contract on 11.01.1991 for non-payment of hire and took possession of the vessel which is described in the judgment as being not 'achieved by any act or even acquiescence on the part of the charterers'. Price of the bunkers was not paid. Relying on clauses 15 and 53 of the charterparty as well as 'retention of title' clause 8 of the bunker supply contracts, it was held that the physical supplier of the bunker and the plaintiff owned the bunkers at least until 11.01.1991 when the owner withdrew the vessel from the service of the charterer. Thereafter, the property in all the bunkers on board passed from the charterer (in so far as they had property in them) to the owner. Further, any right to possession of the bunkers which was vested in the charterer passed to the owner. At the same time the owner became under an obligation owed to the charterer to pay for the bunkers.

38. It was finally held that the owner was not entitled to rely upon Section 25(1) of the Sale of Goods Act, 1979 because there was no voluntary delivery by the charterer of the bunkers to the owner as contemplated by Section 25(1). However, the owner was liable to the plaintiff for damages for conversion.

M.V. NAND SRISHTI (relied upon by plaintiff-supplier):

39. The time charterparty agreement was made on 14.06.2002. The vessel M.V. Nand Shrishti was handed over to the charterer on 17.06.2002. The period of charter was from 17.06.2002 to 08.08.2002. The bunker was supplied on 16.06.2002 and 01.07.2002 respectively. The Chief Engineer of the vessel mentioned on the bunker delivery receipt on 16.06.2002, "Receipt the above in good condition" and on 01.07.2002, "received the above products in good quality and condition – we certify that the quantity received is correct".

40. Clauses 2, 5, 20, 29 and 64 of the time charterparty contained:

> Clause 2- Whilst on hire the charterer shall provide and pay for all the fuel except as otherwise agreed.......
>
> Clause 5- Payment of said hire to be made in owners Bank account in cash in United States currency for the 15 days charter hire plus cost of voyage consumable bunkers. It is to be paid within 3 banking days to owners nominated account upon vessel's delivery......
>
> Clause 20- Fuel used by the vessel while off hire, also for cooking condensing water, or for grates and stoves to be agreed to as to quantity, and the cost of replacing same, to be allowed by Owners.

> Clause 29- Cost of voyage to be adjusted at prices US$ 160 PMT for IFO and US$ 210 PMT for MDO" and Charter to supply about 50 MT gas oil at Bombay at a price of US$ 320 PMT and same to be deducted from first hire...
>
> Clause 64- All bunkers consumed by vessel during off hire period (s) to be for Owners' account.

41. While interpreting the above-mentioned clauses of the charterparty, the Admiralty Court of Bangladesh observed that the charterer had to procure bunkers price of which agreed to be deducted from or adjusted with the hire charge plus price of bunkers payable to the owner, otherwise the charterer was to pay the owner the hire charge plus cost of bunkers which suggests that the charterer was given permission to procure bunkers for the vessel. *The Yuta Bondarovskaya* and *MV Daizu Maru* were distinguished on facts in that in those cases there was only one clause in the charterparty relating to bunker supply providing that the charterer shall provide and pay for all the fuels.

42. The Admiralty Court further observed that the owner was aware of the supply of bunkers on credit and that though there was remark columns in the bunker delivery receipt, the Chief Engineer did not put any remark or comment to indicate, directly or indirectly, to the effect that the owners of the vessel are not responsible or liable for the bunkers and/ or that no lien could be created on the vessel for supply of bunkers. On this factual aspect, the case was distinguished from that of *The Yuta Bondarovskaya*.

It was held that the owner, charterer and the vessel were jointly and severally liable for payment of the price of the bunkers although there was no direct privity of contract between the owner and the plaintiff (supplier of bunker).

43. I note that challenging the judgment, the owner filed Civil Appeal No. 98 of 2005 before the Appellate Division. During pendency of the appeal, the parties settled the dispute out of Court. The appeal was disposed of in terms of the settlement agreement and the judgment and decree of the Admiralty Court was modified accordingly.

ADMITTED FACTS OF INSTANT CASE BASED ON DOCUMENTS:

44. Relevant admitted facts of the case in hand are mainly based on documentary evidence produced by the parties and marked as exhibit. Both parties accepted the documentary evidence and did not raise any objection.

Time Charterparty Agreement dated 27.01.2015:

45. The charterparty agreement was entered into between the owner (3rd defendant) and the time charterer (4th defendant) based on agreed Recap and additional clauses to the standard time charterparty agreement of a previous charterparty of the vessel M.V. SRI PREM APARNA with modifications. The heading of the standard charterparty states, “Time Charter. GOVERNMENT FORM. Approved by the New York Produce Exchange. November 6th,

1913–Amended October 20th, 1921; August 6th 1931; October 3rd, 1946".

Relevant Clauses of Charterparty:

46. Clauses 2, 40 and 95 of the charterparty state:

> Clauses-2: whilst vessel is on hire, the Charterers shall provide and pay for all the fuel except as otherwise agreed,…
>
> Clause-40: Bunkers on Delivery/ Redelivery:
>
> -BUNKERS CLAUSE: BOD [balance of delivery]- HFO ABOUT HSFO ABT-1080 MT MGO ABT-50 MT (OWNERS CONFIRM BUNKER SUFFICIENT TO REACH SINGAPORE VIA INDONESIA WITH SUFFICIENT SAFE MARGIN)
>
> CHARTERERS TO BUNKER VESSEL AT SINGAPORE ENROUTE DISCHARGEPORT.
> CHARTERERS TO REDELIVER THE VESSEL WITH BUNKERS QTTY ABT SAME AS ON DLVRY
>
> CHRTR HAVE RIGHT TO DEDUCT THE VALUE OF BUNKERS PAID UPTO ARRIVAL LOADPORT FROM LAST SUFFICIENT CHIRE
>
> ANY DIFFERENCE BETWEEN BUNKERS ON DELVY/ REDELVY TO BE SETTLED IMMEDIATELY AFTER VSL'S REDELIVERY. PRICES TO BE THE SAME BOTH ENDS, USD 610PMT IFO AND USD 950MT FOR MDO.
>
> Clause-95: Charterers will not suffer, nor permit to be continued, any lien or encumbrances incurred by them or their agents, which might have priority over the title and interest of the owners of the vessel. In no event shall charterers procure, or permit to be procured for the vessel, any supplies necessaries or services without previously obtaining a statement signed by an authorized representative of their furnisher thereof, acknowledging that such supplies or services are being furnished on the credit of charterers and not on the credit of the vessel or of her owners and that the furnisher claims no maritime lien on the vessel therefore.

Terms and Conditions of bunker supply contract:

47. Terms and conditions of the bunker supply contract between the plaintiff and the charterer (4th defendant) are contained in the standard form of 'General Terms and Conditions January, 2012 of Monjasa Group (plaintiff)'. Clause 1 provides that "sellers" means the party contracting to sell and deliver Marine Fuels. "Buyers" means the party contracting to purchase, take delivery and pay for the Marine Fuels.

48. Clauses 6(d), 6(e), 8(e) and 10 of terms of the bunker supply contract are as follows:

> 6(d)- Buyer warrants that it is authorized by the Vessel's owners/operators to order the marine fuels delivered to the Vessel and that it has provided a copy of these terms and conditions to the Vessel's owner and/or Master.
>
> 6(e)- Buyer further warrants that by receiving the marine fuel and signing the Bunker Receipt, the Master acknowledges the vessel is bound by the terms and conditions contained herein.
>
> 8(e)- In the event of non-payment, the Sellers reserve the right to pursue all legal remedies available to recover the amount owed. The Sellers shall have a maritime lien on the vessel identified by it's IMO number until payment and interest has been received by the Sellers. 'No-Lien-Stamps' or remarks in any form or wording on Bunker Delivery Receipt(s) shall be invalid and of no effect, and shall in no way impair Seller's lien or discharge the vessel's responsibility for debts under this agreement [*emphasis supplied*].

10. Risk/Title

Risk of the Marine Fuels shall pass to the Buyers once the Marine Fuels have passed the Sellers' flange connecting the Vessel's bunker manifold with the delivery facilities provided by the Sellers. Title to the Marine Fuels shall pass to the Buyers upon payment for the value of the Marine Fuels delivered, pursuant to the terms of Clause 8 hereof. Until such time as payment is made, on behalf of themselves and the Vessel, the Buyers agree that they are in possession of the Marine Fuels solely as Bailee for the Sellers.... The above is without prejudice to such other rights as the Sellers may have under the laws of the governing jurisdiction against the Buyers or the Vessel in the event of non-payment. (*emphasis supplied*)

Bunker delivery note (BDN) (Marine delivery receipt):

49. In the remarks column of the standard form of printed BDN, the master of the vessel made the following handwritten remarks:

> "Received the bunkers upon the order of charterer Cingler and payment to be on charterer CLINGLER'S Master/ owner of MV TAN BINH 45 is not responsible for the payment of bunker received on board my vessel".

Invoice dated 07.04.2015 issued by plaintiff:

50. The invoice was addressed to "M.V. TAN BINH 45 and/ or master and/ or owners and/ or charterers and/ or managers and/ or operators and/or Cingler Ship Pte. Ltd. [4th defendant-charterer]". The address given in the invoice is "Block 798, Woodlands Drive 72. #03-73 730798- Singapore" which is the address of the 4th defendant-charterer.

E-mail correspondences and claim notice dated 10.06.2015:

51. On 22.04.2015 at 12.57 hours the plaintiff e-mailed to the charterer Cingler stating, "we kindly remind you that our flw. [following]

invoice is due for payment. Invoice #: SG24781 Due date: 30.03.2015 Vessel: mv "Tan Binh 45" kindly let us know if for some reason remittance is not being effected timely".

On 22.04.2015 at 17.57 hours the charterer replied, "… we regret the delay in making the remittance. As explained over phone, we were expecting to receive frt [freight] remittance for our next voyage. The same has got delayed as the receivers could not confirm dischg port. We expect them to declare the dischg port in a day or two and accdgly we shall be receiving the funds immediately thereafter. We expect to make the remittance to you by coming Friday, failing which latest by Monday 27th April".

The charterer did not make the payment. The plaintiff issued a single claim notice dated 10.06.2015 to both the charter and the owner to their respective proper addresses.

<u>Admitted oral evidence:</u>

52. The plaintiff had no knowledge about the charterparty when the bunker supply contract was entered into with the charterer. The plaintiff sent the invoice to the charterer through e-mail. The address of the owner and the charterer is different. Plaintiff witness (PW) was asked, "How did you serve the letter contained in exhibit-9 [claim notice dated 10.06.2015] to defendant No. 3 [owner]?" The answer was, "I am not sure." It is accepted that the owner was not a party to the bunker supply contract.

<u>LEGAL ANALYSIS:</u>

53. I have already mentioned that Mr. Kadir, appearing for the plaintiff, relied upon the cases of *The "Saetta"* and *M.V. Nand Srishti*. Clauses

5, 20, 29 and 64 of the charterparty in *M.V. Nand Srishti* (see para 40) together with the fact the while signing the bunker delivery note (BDN), the Chief Engineer did not put any remark or comment regarding 'no liability' on part of the owner for the bunker and further fact that the owner was aware of supply of bunkers (see para 42) lead to the conclusion in *M.V. Nand Srishti* that the owner, the charterer and the vessel were jointly and severally responsible for payment of the price of the bunkers. In the instant case, clause 40 of the charterparty (see para 46) cannot be equated with clauses 20, 29 and 64 of the charterparty in *M.V. Nand Srishti*. Moreover, clause 95 of the charterparty of the case in hand which is clearly a 'no liability and no lien' clause was reaffirmed by the master by putting his handwritten 'no liability' remarks on the BDN (see para 49). Thus, the case of *M.V. Nand Srishti* is clearly distinguishable and has no manner of application to the instant case.

54. *The 'Saetta'* has been discussed in para 35-38. Suffice it to say that charterparty clauses 15 and 53 and facts of *The 'Saetta'* are different from those of the instant case. In respect of *The 'Saetta'* principle, it is observed in the textbook 'CARVER ON CHARTERPARTIES' (Sweet & Maxwell, South Asian Edition 2020) at para 7-073 and 7-074 (pp. 560-516):

> "<u>Retention of title clauses.</u> …it was generally assumed that a bunker supply contract containing a credit period and a retention of title clause in favour of the supplier pending payment was a contract of sale to which the Sale of Goods Act 1979 applied. ... The position following a withdrawal of the vessel by the shipowner was considered in *The Saetta*, where it was conceded that the shipowner would be guilty of

conversion as against the supplier if it subsequently assumed ownership of the bunkers by consuming them after withdrawal unless it could rely on s.25 of the Sale of Goods Act 1979 (passing of good title by a buyer in possession). …

However, the assumption on which these cases [referring to *The Saetta* and *The Fesco Angara*, [2011] 1 Lloyd's Rep. 61] proceeded must now be fundamentally reappraised in the light of the Supreme Court's decision in *The Res Cogitans* [[2016] UKSC 23; [2016] 1 Lloyd's Rep. 589], where the bunker supply contract stipulated for a 60-day credit period and retention of title pending payment together with an express licence to consume the bunkers prior to payment. It was held that this was not a contract of sale to which the Sale of Goods Act 1979 applied but a contract sui generis, albeit one with many similarities to a contract of sale. In that case there was no charterparty and the shipowner contracted directly for the bunkers, but the logic of the decision is that where such a contract is concluded by a charterer the shipowner will not be able to take advantage of a defence based on s.25 of the Sale of Goods Act. Nonetheless, the shipowner would be protected against a claim in conversion by the liberty to use the bunkers for propulsion prior to payment which has been said to be "a vital and essential feature of the bunker supply business" and it is difficult to see why such a liberty should cease merely because the charter between the "purchaser" of the bunkers (the charterer) and the end user (the shipowner) has come to an end. In most cases, it must be doubtful whether the supplier has any interest in the precise terms on which its immediate contracting party has contracted with the end user provided it can look to the former to recover the contract price. It is therefore submitted that the concession made in *The Saetta* was wrong and that the shipowner should be protected against liability provided that the supplier has expressly or impliedly permitted consumption. …”.

55. The charterparty clauses 40 and 95 of the instant case (see para 46) have given no authority to the time charterer, expressly or impliedly, to contract with the supplier on behalf of the shipowner. The owner of the vessel was not a party to the bunker supply contract. In this regard, the e-mail correspondence dated 16.03.2015 (exhibit-3) between the plaintiff-supplier and the charterer is worth mentioning. The plaintiff e-mailed to the charterer, “Good day Neo [an employee of charterer Cingler], I’m very pleased to offer you following........... Credit 14 DDD <u>for accounts of Cingler Ship Pte Ltd.</u> Price valid until 2000 HRS SG LT....”. The e-mail correspondence clearly shows that it was the intention of the parties that Cingler would be liable to pay for the bunkers. Whether the bunker supplier (plaintiff) had knowledge that Cingler was the time charterer and that they had no authority to contract on behalf of the owner is irrelevant. However, the plaintiff’s standard form of general terms and conditions including clause 10 (Risk/ title) (see para 47-48) were part of the bunker supply contract. Similar terms were included in the bunker supply contract in *The “Yuta Bondarovskaya”* (see para 25, 26). In the instant case, the owner was not party to the bunker supply contract. ‘No liability’ remarks of the master on the bunker delivery note (see para 49) as was done in *The* “*Yuta Bondarovskaya*” (see para 27) brings the case within the scope of the latter.

56. *The* "*Yuta Bondarovskaya*" approach is consistently followed in Bangladesh, India and Pakistan in similar or identical facts. In our jurisdiction, I have already discussed *MV Daizu Maru* (see para 32-34) in which *The "Yuta Bondarovskaya"* approach was followed and applied.

57. In India, the Hyderabad High Court in ***MV Kiveli vs. Monjasa DMCC***, 2018 (5) ALT 73 (MANU/HY/0089/2018) and the Bombay High Court in ***Gulf Petrochem Energy Pvt. Ltd. vs. MT Valor*** (MANU/MH/0624/2015) followed and applied *The* "*Yuta Bondarovskaya*" approach. In both cases, the bunker delivery note clearly stated that the supply was on account of the charterer notwithstanding the fact that it was received by the master of the vessel. The High Court of Gujrat in ***Dan Bunkering (Singapore) Pte Ltd. vs. MV Silvia Glory*** (IMO: 9622942), [Civil Application (For Direction) No. 1 of 2019 in R/Admiralty Suit No. 8 of 2019; date of judgment 21.08.2020] relied upon *The Yuta Bondarovskaya* and observed at para 44, "It can be noticed that except in United States of America where the bunker supplier has Maritime lien over the vessel, the position of the law is quite clear in other countries where the bunker supplier does not have maritime lien over the vessel and it cannot hold a ship owner personally liable without his consent or expressed agreement on the subject. As made quite clear in the decision of Chrisomar Corporation [AIR 2017 SC 5530] (*supra*) by this Court, in post 2017 period also, there could be no maritime lien for non-payment of the bunkers supplied to the vessel at the instance

of the time charterer. The requisite precautions, of course, necessary before the bunkers ordered are supplied".

58. In ***Messrs Naseem Oils vs. M.T. Miramis and Ors.***, 2012 CLD 1413, the plaintiff supplied bunkers to the vessel while she was on a time charter. Supplies were made pursuant to an order placed by the charterer, not by the owner. The High Court of Sindh at Karachi, Pakistan held that the bunker supply was acknowledged by the master of the vessel. Under the terms of the charterparty, the charterer was under obligation to make payment to the plaintiff. The plaintiff had knowledge about the charterparty. Accordingly, the plaintiff failed to make out any case *in personam* against the owner and the claim *in rem* against the vessel was not maintainable.

59. In ***M/s Sing Fuels Pte. Ltd. vs. M.V. Yasa Aysen***, 2020 CLD 70, the bunker delivery note very clearly and specifically mentioned that the supply of bunkers by the supplier was on "Charterers Account". Time charterparty agreement clearly provided that bunker supply and its liability was on account of the charterer, not the owner. Owner was aware of the bunker supply. There was no evidence that any consent of the owner was ever sought for making supply of bunkers and the liability of any payment on part of the owner in case of any default. The plaintiff could not show that the charterer had any sort of authority to contract on behalf of the owner. The High Court of Sindh at Karachi relied upon *The "Yuta Bondarovskaya"* and held, "no case for a claim *in personam* has been arguably made out" and accordingly passed an order to release/discharge the surety furnished by the owners to release the vessel from arrest.

60. In ***Raj Shipping Agencies vs. M.V. "Bunga Mas Tiga" and ors.***, AIR 2001 Bom 451, there was a contract between the owner of the vessel and the time charterer whereby the owner agreed to purchase the bunker at the stated price from the charterer. In a separate contract, the charterer agreed to purchase bunkers from the plaintiff-supplier. The price of bunkers in the contracts was different. There was no averment made in the plaint that the charterer was acting as agent of the vessel or her owner for purchase of bunker from the plaintiff. Purchase order, invoices etc. showed that the charterer purchased the bunker from the plaintiff and the same was delivered to the vessel. There was no privity of the contract between the plaintiff and the vessel or her owner. The bunker delivery receipt was acknowledged by the Chief Engineer of the vessel. Plaintiff argued that the receipt of the bunkers by the vessel was without any qualification as regards the quality, quantity and the price of the same and therefore, the vessel was liable to the plaintiff for the value thereof. Plaintiff claimed maritime lien over the vessel and filed the suit in an action *in rem*. The High Court of Bombay held, ".....supply of necessity would not make the owner of the vessel liable to pay the price of the supply, unless the plaintiffs prove that the supplies were made at the instance of either the owner of the vessel or at the instance of the person authorised by the owner of the vessel". The Court further held that the cause of action for recovery of price of the bunker was against the charterer and the plaint did not disclose any cause of action against the vessel or her owner and as such, the plaint was liable to be rejected.

THE SHIP "SAM HAWK" VS. REITER PETROLEUM INC. [2016] FCAFC 26 (Federal Court of Australia- Full Court):

61. The vessel "*Sam Hawk*" was on time charterparty which required the charterer to bunker the vessel and to pay for bunkers during the charterparty. It neither authorised the charterer to contract for bunkers on behalf of the owner nor to bind the vessel with a maritime lien for necessaries, including bunkers. The vessel was supplied with bunkers in Istanbul. A Canadian company, Reiter Petroleum Inc. procured the supply. As per terms of the bunker supply contract, the contract of supply was to be construed in accordance with Canadian law. The contract also purportedly granted the supplier Reiter a right to assert lien over the vessel and the U.S.A. law would apply to determine the existence of the lien (in effect between the supplier and the owner). The master of the vessel sent a "no liability" notice to the supplier of bunker procured by Reiter and the supplier had received the notice. The master sent the said "no liability" notice to the barge which supplied the bunker. The barge also received the notice. The owner was not a party to the bunker supply contract. The charterer did not pay for the bunkers. The vessel was arrested in Western Australia by Reiter on the basis of a maritime lien which was said to arise under either Canadian or US law. The owner sought to have the arrest struck out.

62. The Court of first instance held that a claim for maritime lien based on the US or Canadian law under the bunker supply contract was *prima facie* valid for the purpose of an arrest of the vessel in Australia.

63. The owner appealed before the Federal Court. Their argument was that *lex causae* (cause for the law) was not the US or Canadian law and that the Australian law does not recognise that a claim for unpaid price of bunker creates a maritime lien over the vessel. The Full Court allowed the appeal and set aside the vessel arrest.

64. The majority (four judges) held that as the owner was not a party to the bunker supply contract, the contract could not create a maritime lien under the law of Australia in relation to the ship to bind the owner. Further, the bunker supply contract was not a basis for identifying the *lex causae* as either the law of the US or Canada. Rares J. also allowed the appeal and set aside the arrest, but he disagreed with the majority's conclusion that the *lex fori* (law of the jurisdiction where the case is pending) is the proper law for recognition of a maritime lien.

65. In the "*Sam Hawk*", Allsop C.J. and Edelman J., in a joint judgment observed at para 76 that usually, if not invariably, the time charterer is responsible for the bunkers. That it because the time charterer is deriving the commercial benefit of freight from cargo interests; it tells the master where to take the ship, so it pays for the bunker fuel to go there. The owner runs the ship, receives the hire, out of which it pays for the running of the ship, such as expenses of crew's wages and diesel fuel (as opposed to bunker fuel) to power the ship's apparatus.

66. On the question of creation of maritime lien for bunkers, Allsop C.J. and Edelman J. observed at para 149 that in an age of instantaneous

communication, including modern electronic payment systems, there appears to be no demonstrated pressing commercial imperative for the just and efficient carrying on of maritime trade and business to accord the necessaries man, and in particular the commercial bunker supplier, a maritime lien. Rares J., observed at para 416 that in today's world, a necessaries supplier can require immediate payment for supplies without either the need to extend credit or to rely on the ability to enforce the contract by causing the ship to be arrested and, if need be, sold in the Admiralty jurisdiction of another country. In those circumstances, if the necessaries supplier decides to make the supply of goods or services to a ship on credit rather than in exchange for immediate payment, it is readily able to do so on agreed contractual terms without the need for the common law to superadd a remedy, such as a maritime lien, that survives as a privilege on the ship after a change of ownership.

PRINCIPLES APPLICABLE IN ADMIRALTY JURISDICTION IN BANGLADESH IN RESPECT OF BUNKER SUPPLY:

67. The general principles deriving from the Admiralty Court Act, 2000 of Bangladesh and case laws discussed above can be summarised as follows:

(a) Under Section 4(2) read with clause (l) of Section 3(2) of the Act, 2000, bunker supply creates a maritime claim, not a maritime lien, if the price is not paid. Action *in personam* is maintainable, not action *in rem* [see para 18, 19 and *BF Glory (Ex-Kunai)*].

(b) In time charterparty, master's stamp or note or remark as to "no liability on part of the owner" on bunker delivery note/receipt usually, if not invariably, has the effect of making the owner not liable for the bunker price when the bunker contract is entered into between the charterer and the supplier (*The Yuta Bondarovskaya*, see para 27; *MV Kiveli, MT Valor*, para 57; *M.V.Yasa Aysen*, para 59; *Sam Hawk*, para 61).

(c) Master may simply acknowledge bunker receipt without endorsing "no liability" remark. Nonetheless, the owner is not liable if the charterparty terms provide that the bunker supply and its liability is on account of the charterer (*M.T. Miramis*, see para 58; *M.V. Bunga Mas Tiga*, para 60). Knowledge of the supplier about the charterparty or that of the owner about the bunker supply contract is irrelevant (*M.T. Miramis*, *M.V. Yasa Aysen*).

(d) Principles stated in (b) and (c) above are based on the proposition that the owner is not party to the bunker supply contract and that the charterparty envisages that the charterer shall provide for the bunkers. For the same reasons "retention of title" or "risk/title" clauses in the bunker supply contract do not bind the owner *(The Yuta Bondarovskaya)*.

(e) The time charterer should obtain the consent of the owner before the bunker supply contract is made where the supplier is not willing to supply bunker on credit [*The Yuta Bondarovskaya,* see para 31(e) (2nd part)] or should come to a clear arrangement with the owner that in case of default by the charterer, the owner is liable for the price of the bunker.

(f) If charterparty clauses and facts are capable of interpretation in such a manner that the owner had authorised the charterer to procure bunker on credit on the owner's account, the owner is liable in an action *in personam* (*M.V. Nand Srishti*, see para 41, 42).

(g) If the owner directly orders bunker, he is liable in an action *in personam*, not *in rem* for the reason that the Act, 2000 of Bangladesh recognises such action.

(h) Admiralty law is *sui generis* (see para 12, 13). Parties cannot by agreement confer lien status on a claim which is not by nature a lien. (*Al-Sayer Navigation,* see para 15).

(i) Where the owner is not privy to the bunker supply contract, the same cannot be basis for identifying the *lex causae* and *lex fori* is the proper law for recognition of a maritime lien [*The Yuta Bondarovskaya,* see para 31(e) (1st part); *Sam Hawk,* see para 63, 64].

(j) The law of conversion applied in *The Saetta* making the owner liable for damages for conversion by using the bunker procured by the charterer in the given facts should be considered following the subsequent principle laid down in the *Res Cogitans* (see para 54).

CONCLUSION IN RESPECT OF THE VESSEL AND OWNER:

68. I have already held that in the instant case, the charterparty clauses did not authorise the charterer to contract with the supplier on behalf of the owner or to create lien on the vessel. Clause 40 of the charterparty regarding 'Bunkers on delivery/redelivery" (see para 46) clearly shows it was exclusively between the owner and charterer to settle the issue regarding difference between the

quantities of bunkers on delivery/redelivery. Clause 40 cannot be equated with those contained in *The Saetta* and *M.V. Nand Srishti*. The effect of clause 40 is to create, on the one hand, a contract of sale and purchase whereby property in the bunkers taken over passes to the charterer on delivery and, on the other, a contract of sale and repurchase whereby property in any bunkers remaining on redelivery is transferred back to the shipowner. In ***The Pitsa T*** [1987] 2 Lloyd's Rep. 404, it was regarded as "indisputable" that the bunkers on board the vessel were the property of the charterer.

69. Charterparty clauses and "no liability" remarks by the master on the bunker delivery note bring the case in line with *The Yuta Bondarovskaya* approach. It follows that the instant action being an action *in personam* is not maintainable against the 3rd defendant owner and the 1st defendant vessel.

CLAIM AGAINST 4TH DEFENDANT CHARTERER:

70. In ***Doon Valley Rice Ltd. vs. MV Yue Yang and others***, 1999 BLD 471=4 BLC 476, the Admiralty Court of Bangladesh held that Rules 3 and 51 of the Admiralty Rules, 1912 read with Sections 117 and 141 of the Code of Civil Procedure, 1908 show that the provisions of the Code are applicable to the proceedings before the Admiralty Court unless they are excluded by any Rule. Section 20 of the Code of Civil Procedure states:

"20. Others suits to be instituted where defendants reside or cause of action arises- Subject to the limitations aforesaid, every suit shall be instituted in a Court within the local limits of whose jurisdiction–

(a) the defendant, or each of the defendants where there are more than one, at the time of the commencement of the suit, actually or voluntarily resides, or carries on business, or personally works for gain; or

(b) any of the defendants, where there are more than one, at the time of the commencement of the suit, actually or voluntarily resides, or carries on business, or personally works for gain, provided that in such case either the leave of the Court is given, or the defendants who do not reside, or carry on business, or personally work for gain, as aforesaid, acquiesce in such institution; or

(c) the cause of action, wholly or in part, arises.

Explanation I.- Where a person has a permanent dwelling at one place and also a temporary residence at another place, he shall be deemed to reside at both places in respect of any cause of action arising at the place where he has such temporary residence.

Explanation II.- A corporation shall be deemed to carry on business at its sole or principal office in Bangladesh or, in respect of any cause of action arising at any place where it has also a subordinate office, at such place".

71. It appears from the plaint that the charterer (4th defendant), which is a corporation, carries on business in Singapore. They do not have any subordinate office in Bangladesh. In respect of the cause of action, it is stated at para 14 of the plaint that the cause of action arose when the bunker was supplied to the vessel at the port of Kolkata, India; when the principal defendants failed to pay the price of the bunker and the invoice amount within the due date which is still continuing against the 1st defendant vessel lying at Chattogram Port, Bangladesh within the jurisdiction of the Admiralty Court. This Admiralty Court, in my view, has no jurisdiction to be exercised over the 4th defendant-charterer for the reasons that no cause of action existed or arose against them to file the instant admiralty suit in Bangladesh. Accordingly, I refrain from dwelling upon the merit of the case against the charterer.

CONCLUSION:

72. The suit is dismissed on contest against the principal defendant Nos. 1 (vessel) and 3 (owner) and *ex parte* against defendant Nos. 2, 5 and 6 on question of facts and law.

This Admiralty Court has no jurisdiction to determine the claim against the 4th defendant (charterer). The claim against the 4th defendant is also dismissed *ex parte* for want of jurisdiction, not on merit.

The plaintiff may take recourse to proper forum having jurisdiction to agitate their grievance against the charterer (4th defendant), if so advised.

The Marshal of the Court is directed to return the Bank Guarantee being No. 999TS469LG dated 26.06.2016 to the tune of BDT 42,15,386.28 issued by the Eastern Bank Ltd. to the learned Advocate Mr. M. Saquibuzzaman appearing for the defendant Nos. 1 and 3.

No order as to costs.

Mazhar, BO